

Alternative models

Since the start of the economic downturn that started in 2008, several innovative and more personal types of funding, such as crowdfunding and peer-to-peer (P2P) lending, have evolved and blossomed on the internet. All involve the principle of raising small amounts of money from large numbers of individuals who pool their resources to provide the loan or equity needed.

CREDIT ANALYSIS CRITERIA FOR LENDING

Capacity

The borrower's ability to repay the loan is shown by the business plan.

Capital

The borrower's net worth is assessed to check that assets exceed debts.

Character

The lender usually looks for a borrower with a good credit history.

Collateral

The borrower is often expected to pledge an asset that can be sold to pay off the loan if funds are too low to pay the monthly interest or repay the capital at the end of the term.

Conditions

The lender is swayed by the current economic climate as well as by the sum requested.

Life cycle of investment

The key to successful funding is to choose the right type of finance at each stage of a company's early growth. Start-ups usually begin modestly, with self-funding and help from friends, family, and anyone else who is prepared to take a high risk. Crowdfunders and business angels are amateurs willing the entrepreneur to succeed, while venture capitalists become interested when the level of risk goes down and they can expect a healthy profit in return for injecting substantial funds. Public markets such as stock exchanges may step in as sales soar and success looks probable. At all stages, investors will conduct credit analysis to assess a company's ability to repay its debt.

